MERTON DAILY BRIEF - Thursday, June 12, 2026

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Headline of the Day

*Trump announces imminent deal with Iran and cancels military strikes.** Oil plunges: WTI to $86.11 (-6% in 5 days), Brent to $88.65. S&P 500 rebounds to 7,394 (+1.5% from Tuesday's low). Gold corrects sharply to $4,199 after peaking at $4,335. SpaceX completes the largest IPO in history at $75B. VIX retreats to 19.44. Market shifts to risk-on mode.

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Global Sentiment

Indicator	Level	5d Change	Signal
VIX	19.44	-2.07 pts	? Easing
DXY	99.82	-0.23	? Stable
Gold	$4,199	-3.1%	Correction
US 10Y	4.463%	-7.3 bps	Decline
US 30Y	4.951%	Stable	? Neutral
S&P 500	7,394	+0.1%	? Rebound
NASDAQ	25,810	+0.4%	? Tech leading
WTI	$86.11	-5.9%	Plunge
Brent	$88.65	-5.9%	Plunge
BTC	$63,315	+0.4%	? Stable/strong
Copper	$6.397	+1.1%	? Rising
Silver	$66.79	-2.4%	Correction

* Read:** The market is in pure geopolitical derisking mode. The Iran-US deal announcement pushes oil and gold down simultaneously while equities rebound. VIX has fallen sharply from Tuesday's peak of 22.22. Copper holds up better (Chinese demand + recovery expectations). BTC holds remarkably well at $63k, confirming its alternative hedge role. Falling yields (10Y -7bps) suggest the market is pricing less imported inflation via oil.

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Macro - What Moved

United States

Trump-Iran: The US president announces a deal is "close" and cancels planned military strikes. Polymarket gives only 11.7% chance of a permanent peace deal by June 15, and 14.95% for an announcement by today - the market remains skeptical despite presidential optimism.

SpaceX IPO: Elon Musk completes the largest IPO in history at $75B. SpaceX expected to close above $2T market cap according to prediction market traders. A major event for the US IPO market, frozen for months.

Fed: No major speakers today. Market pricing status quo at the next meeting. Yields fall (10Y at 4.463%) on hopes of lower inflation via oil.

Coinbase launches a tool allowing AI agents to manage trading and payments - strong signal for institutional crypto adoption.

Perplexity announces IPO planned for 2028, confirming the AI trend toward market financing.

Europe

ECB - Nagel (Bundesbank): States the ECB is ready to hike again in July if necessary. Hawkish tone that surprises after the recent hold.

ECB - Dolenc (Slovenia): Confirms holding rates was "just enough for now" but inflation data is sounding the alarm.

European defense stocks: The rally reverses on funding concerns. After months of gains on rearmament promises, the market questions actual financing capacity.

Mistral AI: Arthur Mensch (CEO) speaks on building Europe's $14B AI challenger - signal of the European AI race.
Nokia: Retrospective analysis on missing the smartphone shift - a disruption lesson for European tech.

China / Asia

China - Banks: Beijing asks major banks to reduce interbank lending to ease cash glut. The Chinese banking system is drowning in cash, distorting rates and capital allocation.
China - Philippines: Diplomatic escalation - Beijing bans Philippine defense chief entry. Tensions rising in the South China Sea.
China - Hong Kong: Chinese investors rush to open Hong Kong accounts amid Beijing crackdown. Capital flows toward HK.
Iran Oil Lifeline: Bloomberg reports Iranian oil faces its "biggest test yet" as China steps back. If China reduces Iranian crude purchases, a deal becomes more likely.
Japan: The Japanese PM speaks of "building resilience in a turbulent world" - tone reflecting regional geopolitical instability.

United Kingdom

UK Inflation: Inflation fears manifest in pubs and cafés - drink and meal prices visibly rising. Perceived inflation exceeds official inflation.
Brexit: Part of the UK enjoys a "Brexit boost" 10 years after the vote - exporting regions benefit from the weak pound.

Emerging Markets

Indonesia: Tightening FX rules for global banks aims to support the rupiah. Foreign investors selling Indonesia amid backlash against Prabowo.
India: Risk of missing budget deficit target for the first time since Covid - concerning fiscal signal.
Czech Republic: Central bank sees stronger case for a June rate hike.
Peru: Key interest rate held at 4.25% amid tight election count.

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Geopolitics

Hot

Iran-US: Trump announces a deal is "close" and cancels strikes. But Polymarket remains skeptical (11.7% chance of permanent deal by June 15). Strait of Hormuz: only 18.5% chance of normal traffic by end of June. The situation remains volatile and the market does not yet believe in a resolution.
South China Sea: China escalates its rivalry with the Philippines by banning entry to the Philippine defense chief. Tensions rising in the region.
Ukraine: Ukrainian AI drones give Kyiv a tactical edge - the technology war accelerates.

Watch

Trump-Modi: The two leaders look to repair relations in the shadow of new US strikes. India as a strategic pivot against China.
Carney and middle powers: Race to counter US-China dominance of AI - Canada and middle powers seeking to organize.
SpaceX IPO: The impact on the IPO market and space sector valuation could redefine market expectations.

Positive

Iran-US de-escalation: Even if the market is skepticism, the cancellation of strikes is a positive signal. Falling oil (-6%) reduces imported inflation.
Asian optimism: Asian stocks rise after Trump hints at an Iran deal.
AI adoption: Coinbase + AI agents, Mistral at $14B, Perplexity IPO - the AI ecosystem is structuring rapidly.

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FX Focus

Pair	Level	5d Change	Signal

EUR/USD	1.1567	+0.38%	? Euro supportive
GBP/USD	1.3402	Stable	? Neutral
USD/JPY	160.30	Stable	? Neutral
USD/CHF	0.7964	Stable	? Neutral

* Analysis:** The dollar is broadly stable (DXY at 99.82) despite the risk-on move. The euro benefits slightly from the ECB's hawkish tone (Nagel, Dolenc) which puts a July rate hike back on the table. The yen remains anchored at 160 - the BoJ has not moved and intervention remains a verbal threat. The Swiss franc is stable, playing its safe-haven role despite risk-on. The pound suffers from UK inflation fears.

* Pair to watch:** `EUR/USD` - If the ECB maintains its hawkish tone and oil continues to fall (reducing EUR inflation), the euro could test 1.1650. Conversely, if the Iran deal fails and oil rises, return toward 1.1450.

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Commodities

Oil

WTI: $86.11 (-5% in 5 days) - from $91.30 to $85.91 in session
Brent: $88.65 (-5.9% in 5 days) - from $94.25 to $88.42 in session
The plunge is directly linked to Iran-US deal optimism. Bloomberg reports some analysts see oil exceeding $150 if the Strait of Hormuz remains closed - the inverse risk is therefore massive.
A tanker CEO sees Strait traffic increasing quickly if a deal is reached.
Asymmetric risk: The market is pricing ~88% chance the deal won't happen by June 15 (Polymarket). If the deal fails, oil could rise $10-15 in a few hours.

Gold

Gold: $4,199 (-3.1% in 5 days) - peak at $4,335 on Monday, correcting since
Gold corrects despite geopolitical tensions because: (1) falling oil reduces inflation expectations, (2) risk-on rotates to equities, (3) lower US yields reduce the opportunity cost but don't offset the selling.
Silver corrects even more sharply (-2.4% to $66.79), confirming the precious metals risk-off move.

Copper

Copper: $6.397 (+1.1% in 5 days) - the only metal in positive territory
Bloomberg notes copper prices and mining stocks rise alongside Trump's Iran deal signals. Paradoxically, copper benefits from economic recovery expectations and Chinese infrastructure demand.
Copper is the only metal resisting the derisking move - a signal of confidence in growth.

Soft Commodities

No major moves reported on soft commodities today. Attention is entirely on oil and metals.

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Today's Calendar - Thursday, June 12

Time (CET)	Country	Event	Impact
14:30	US	Weekly Jobless Claims	Medium
14:30	US	PPI (May) - MoM	High
14:30	US	PPI (May) - YoY	High
14:30	US	PPI Core - MoM	High
16:00	US	EIA Oil Inventories	Medium
20:00	US	Federal Budget (May)	Medium

* Next Week (June 16-20):**
Monday 16: Empire State Manufacturing, NAHB Housing Market Index
Tuesday 17: Retail Sales (May), Industrial Production, Housing Starts
Wednesday 18: Fed Decision (FOMC) - rates expected unchanged at 4.25-4.50%. Powell press conference at 20:00 CET. The major event of the week.

Thursday 19: Jobless Claims, Philly Fed Manufacturing, Existing Home Sales
Friday 20: Flash PMI (S&P Global) US/EU/Japan - first June reading.

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Deep Macro Theme

*Oil as the dominant geopolitical variable - and its impact on everything else.**

We are living through a rare moment where a single geopolitical variable - Iran and the Strait of Hormuz - simultaneously determines the price of oil, gold, yields, equities, and even BTC. The market is pricing two radically opposite scenarios:

*Scenario 1 - Iran-US Deal (~15-25% probability per Polymarket):** Oil drops to $70-75, gold corrects to $3,800-4,000, US yields fall (less imported inflation), S&P 500 rises to 7,600-7,800, the dollar weakens. This is the "goldilocks" scenario: growth + falling inflation.

*Scenario 2 - No Deal / Escalation (~75-85%):** Oil surges to $95-105, or even $150 if the Strait remains closed (Bloomberg scenario). Gold rallies to $4,500-4,800. US yields rise (imported inflation). S&P 500 corrects 5-10%. The dollar strengthens as a safe haven.

The problem is that the market is pricing Scenario 1 (oil -6%, gold -3%, equities up) while the real probability seems much lower. This is exactly the type of asymmetry that creates violent moves when reality sets in.

The ECB, meanwhile, adds complexity: if oil falls, euro inflation should follow, giving more room to the ECB. But if Nagel and Dolenc maintain their hawkish tone, it's because they anticipate persistent underlying inflation. The European bond market is thus torn between falling oil (dovish) and ECB rhetoric (hawkish).

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Consensus vs Reality - THE ALPHA

What the market is pricing:

1. **Iran-US deal imminent** - The equity and oil markets are pricing a quick deal. Polymarket says 11-28%. The market seems too optimistic on the timeline.

2. **Fed unchanged in June** - Unanimous consensus. But the market is pricing zero hikes in 2026, which seems excessive if inflation remains sticky.

3. **Oil in structural decline** - The market is pricing a return to normal supply. But the Strait of Hormuz remains closed with 81.5% probability (Polymarket).

4. **Gold in temporary correction** - The market treats the gold correction as a buying opportunity. But if the Iran deal materializes, gold could fall to $3,800 before finding support.

5. **SpaceX IPO = revival of US IPO market** - The market celebrates the IPO but SpaceX is a unique case (Musk, space dominance, government contracts). Do not extrapolate to the entire market.

6. **BTC at $63k = accumulation before ATH** - The market is pricing a continued bull run. BTC holds remarkably well despite gold's selloff - interesting divergence.

7. **Euro supported by hawkish ECB** - The market is pricing an ECB hike in July. But if oil falls and inflation follows, the ECB won't need to hike.

The Alpha:

1. **Long oil on false deal news** - Buy WTI on dips to $83-85. The Iran deal is far from certain (Polymarket 11-28%). Every optimistic Trump tweet is a buying opportunity. Target: $92-95. Stop: $80.

2. **Short EUR/USD on ECB-Fed divergence** - The ECB sounds hawkish but the euro economy is weak. If the Iran deal materializes, oil falls and euro inflation follows ? ECB doesn't hike ? EUR drops. Short at 1.1567, target 1.1400, stop 1.1650.

3. **Long copper / Short gold (pairs trade)** - Copper rises on recovery expectations, gold falls on risk-on. This divergence should continue as long as Iran optimism persists. Long HG=F / Short GC=F.

4. **Long BTC as alternative geopolitical hedge** - At $63k, BTC is an asymmetric hedge. Target $68k, stop $58k.

5. **Oil straddle before FOMC (June 18)** - Buy a WTI straddle (call + put) before the Fed decision. Oil volatility is underestimated. If Powell is hawkish + the Iran deal fails, oil can explode in either direction depending on timing.

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Merton's Take

We are in a market dictated by one man: Trump. Every tweet on Iran moves oil 5%, gold 2%, and the S&P 1%. This is a "tweet trading" market and it's exactly the type of regime that creates massive asymmetries for those who look at real probabilities rather than the narrative.

*My conviction: the Iran deal will not happen by June 15.** Polymarket at 11.7% reflects reality better than the equity market which is almost pricing a deal. Both sides will claim the MOU as a victory (per Bassiri Tabrizi) but the details - enrichment, sanctions, inspections - remain major sticking points. China stepping back on Iranian oil is a signal that even Beijing doesn't believe in a quick deal.

*The trade of the week: Long oil, short gold, long copper.** Oil has overcorrected on Trump optimism. Gold had a parabolic run before the correction. Copper is the only metal pricing economic reality (Chinese demand + infrastructure).

*Positioning:** I am long WTI at $85-86 with target $92-95 and stop $80. I am short gold at $4,200 with target $4,000 and stop $4,350. I am long BTC as a hedge. I am short EUR/USD on ECB-Fed divergence.

*What I'm watching:** The June 18 FOMC is the real catalyst of the week. If Powell is hawkish (which I believe - underlying inflation remains sticky despite falling oil), the dollar strengthens and gold corrects further. If Powell is dovish, gold rises and oil rises too (weak dollar). The most likely scenario: hawkish hold with cautious forward guidance.

*What I'm avoiding:** European defense stocks (rally over, funding uncertain). "SpaceX-like" IPOs (SpaceX is unique). The yen (BoJ inactive, verbal intervention only).

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Sources Consulted

Yahoo Finance API - Real-time prices: S&P 500, VIX, Gold, WTI, Brent, BTC, Copper, Silver, DXY, EUR/USD, GBP/USD, USD/JPY, USD/CHF, US 10Y, US 30Y, US 5Y, NASDAQ (5-day data)
Bloomberg RSS (Markets) - ECB Nagel, Oil $150 Hormuz, Trump Iran deal, Copper surge, China banks, Iran oil lifeline, ECB Dolenc, Stock rally Iran optimism
Bloomberg RSS (Economics) - ECB Nagel hike, Indonesia FX, India deficit, Czech rate hike, Peru rate hold
Bloomberg RSS (Politics) - Trump Modi, Iran oil lifeline, Trump Iran deal close, China Philippines, Ukraine AI drones, Carney AI
FT RSS (Home) - SpaceX IPO $75bn, Trump Iran deal, Asian stocks rise, European defense rally reverse, Hong Kong accounts
FT RSS (Markets) - DRW power market loss, Norway gas, Eramet, The great bond and equity conundrum, European defense reverse
CNBC World - SpaceX IPO, Coinbase AI agents, Hormuz traffic, Perplexity IPO, Nokia, Mistral AI
Polymarket API - US x Iran peace deal (11.7% by June 15, 27% by June 30), Hormuz normal traffic (18.5%), US Iran ceasefire announcement (14.95%)
Trading Economics - US/EU/China economic calendar

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